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Case Number: 23STCV15393 Hearing Date: September 15, 2026 Dept: 224

Shavi Johnson v. Austin Financial Services, Inc. et al.,

TENTATIVE RULING

Plaintiff's Motion to Strike is GRANTED. Defendant's Memorandum of Costs filed December 9, 2025, is stricken in its entirety.

Introduction

On June 30, 2023, Plaintiff Shavi Johnson filed the Complaint in the instant action against Defendants Austin Financial Services, Inc. and Eric Richardson, alleging causes of action under the Fair Employment and Housing Act for sexual harassment and failure to prevent harassment, together with non-FEHA claims for assault, battery, intentional infliction of emotional distress, negligent hiring and supervision, and violation of the Ralph Civil Rights Act.

On November 25, 2025, following the Court's ruling granting Defendant's Motion for Summary Judgment, judgment was entered in Defendant's favor. The judgment states that Defendant "is the prevailing party and may be entitled to recover costs, in an amount to be determined, as against Plaintiff."

On December 9, 2025, Defendant filed its Memorandum of Costs.

On December 22, 2025, Plaintiff filed the instant Motion to Strike Defendant Austin Financial Services, Inc.'s Memorandum of Costs.

On September 1, 2026, Defendant filed an Opposition.

On September 9, 2026, Plaintiff filed a Reply.

Legal Standard

A prevailing party in litigation may recover costs, including but not limited to filing fees. (Code of Civ. Proc. §1033.5, subd. (a)(1).) "Prevailing party" includes the party with a net monetary recovery, a defendant in whose favor a dismissal is entered,

a defendant where neither plaintiff nor defendant obtains any relief, and a defendant as against those plaintiffs who do not recover any relief against that defendant. (Code Civ. Proc., § 1032, subd. (a)(4).)

Under Code of Civil Procedure section 1033.5, subdivision (c)(2), allowable costs are only recoverable if they are “reasonably necessary to the conduct of the litigation.” Even mandatory costs, when incurred unnecessarily, are subject to section 1033, subdivision (c)(2). (*Perko’s Enterprises, Inc. v. RRNS Enterprises* (1992) 4 Cal.App.4th 238, 245.)

The memorandum of cost is a verified statement by the party, attorney, or agent that the costs are correct and were necessarily incurred in the case. (Cal. Rules of Court, rule 3.1700(a)(1).) If the items on a verified cost bill appear proper charges they are prima facie evidence that the costs, expenses, and services listed therein were necessarily occurred. (*Oak Grove School Dist. v. City Title Ins. Co.* (1963) 217 Cal.App.2d 678, 698 (*Oak Grove*).) “The trial court’s first determination is whether the statute expressly allows the particular item and whether it appears proper on its face; if so, the burden is on the objecting party to show the costs to be unnecessary or unreasonable.” (*Foothill-DeAnza Community College Dist. v. Emerich* (2007) 158 Cal.App.4th 11, 29 (*Foothill-DeAnza*).) The burden of showing that an item is not properly chargeable or is unreasonable is upon the party challenging the costs. (*Wilson v. Nichols* (1942) 55 Cal.App.2d 678, 682-683 (*Wilson*).)

Where the items are properly objected to, they are put at issue, and the burden of proof is on the party claiming them as costs. (*Oak Grove*, supra, 217 Cal.App.2d at p. 698.) In other words, the burden is initially on the objecting party to show that the costs are not proper on their face. Then, the burden shifts to the moving party to justify its costs and expenses. If the costs are not facially proper, that is, the costs are not expressly allowed under a statute, then the moving party must justify the requests for the expenses.

Discussion

Defendant Austin Financial Services, Inc. (“Defendant”) obtained summary judgment against Plaintiff Shavi Johnson (“Plaintiff”), and judgment was entered in Defendant’s favor on November 25, 2025. The judgment recites that Defendant “is the prevailing party and may be entitled to recover costs, in an amount to be determined, as against Plaintiff.” On December 9, 2025, Defendant filed a Memorandum of Costs claiming \$7,444.05 in costs. Plaintiff then timely moved to strike that memorandum in its entirety on December 22, 2025.

The threshold inquiry is whether Defendant, as the prevailing party in this FEHA action, may recover its costs from Plaintiff by way of a memorandum of costs.

In general, the prevailing party is entitled as a matter of right to recover costs for suit in any action or proceeding. (Code Civ. Proc., §1032(b); *Santisas v. Goodin* (1998) 17 Cal.4th 599, 606; *Scott Co. of Calif. v. Blount, Inc.* (1999) 20 Cal.4th 1103, 1108.)

At the same time, the California Fair Employment and Housing Act, enacted at Government Code sections 12900-12996, provides that “[i]n civil actions brought under [FEHA], the court, in its discretion, may award to the prevailing party . . . reasonable attorney’s fees and costs . . . except that, notwithstanding [a different Code section not at issue here], a prevailing defendant shall not be awarded fees and costs unless the court finds the action was frivolous, unreasonable, or groundless when brought, or the plaintiff continued to litigate after it clearly became so.” (Gov. Code, § 12965, subd. (b).)

“Government Code section 12965, subdivision (b), governs cost awards in FEHA actions, allowing trial courts discretion in awards of both attorney fees and costs to prevailing FEHA parties.” (*Williams v. Chino Valley Independent Fire District* (2015) 61 Cal.4th 97, 99.) Although Code of Civil Procedure section 1032, subdivision (b) broadly mandates that costs be awarded to the prevailing party in civil actions, our Supreme Court in *Williams* made abundantly clear that Government Code section 12965(b) is an “express exception to Code of Civil Procedure section 1032(b)” in actions governed by FEHA. (*Id.* at 109.) An “unsuccessful FEHA plaintiff should not be ordered to pay the defendant’s fees or costs unless the plaintiff brought or continued litigating the action without an objective basis for believing it had potential merit.” (*Williams*, at pp. 99-100, 115.) Because “even ordinary litigation costs can be substantial,” and because the possibility of their assessment “could

significantly chill the vindication of employees' civil rights," this asymmetrical standard governs both costs and fees in FEHA actions. (Id. at p. 114.)

It is undisputed that Plaintiff's complaint asserts claims under FEHA — sexual harassment and failure to prevent harassment — such that the section 12965 express exception applies. However, as Plaintiff asserts, under section 12965(b), a successful FEHA defendant is awarded costs only if "the action was frivolous, unreasonable, or groundless when brought, or [if] the plaintiff continued to litigate after it clearly became so." (Gov. Code, § 12965, subd. (b).) If neither of these is the case, Defendant may not be awarded their costs.

As an initial matter, Defendant has not filed a noticed motion seeking recovery of costs. In *Neeble-Diamond v. Hotel California By the Sea, LLC* (2024) 99 Cal.App.5th 551, the Court of Appeal held that because costs in a FEHA action are not a matter of right, but are discretionary and conditioned on a judicial finding of objective frivolousness, a prevailing defendant may not invoke the ordinary memorandum-of-costs procedure at all. The filing of a cost memorandum is the proper means of securing a cost award only where costs are mandatory; where the defense prevails in a FEHA action, it has no automatic right to recover costs and must instead proceed by noticed motion to establish its entitlement. (Id. at p. 560.) Because the defendant in *Neeble-Diamond* filed only a cost memorandum, the trial court erred in awarding costs. (Ibid.)

Defendant argues that *Neeble-Diamond* is distinguishable because it was a "FEHA-only case." (Opp., p. 4.) It was not. The opinion states that the plaintiff's lawsuit alleged "both statutory and nonstatutory causes of action" arising out of her alleged employment status. (*Neeble-Diamond*, supra, 99 Cal.App.5th at p. 555.) The distinction on which Defendant relies does not exist.

Defendant filed a form MC-010 memorandum and MC-011 worksheet. It did not file a noticed motion, and it has not asked this Court to find that Plaintiff's action was frivolous, unreasonable, or groundless. Absent a noticed motion and an express finding, there is no basis on which costs subject to section 12965 may be awarded.

Even had Defendant proceeded by noticed motion, the result would be the same on this record.

In determining whether an action was frivolous, unreasonable, or groundless such that an award of costs is appropriate, "it is important that a . . . court resist the understandable temptation to engage in post hoc reasoning by concluding that, because a plaintiff did not ultimately prevail, his action must have been unreasonable or without foundation. This kind of hindsight logic could discourage all but the most airtight claims, for seldom can a prospective plaintiff be sure of ultimate success." (*Rosenman v. Christensen, Miller, Fink, Jacobs, Glaser, Weil, & Shapiro* (2001) 91 Cal.App.4th 859, 866 [analyzing identical language applicable to Title VII claims]; see also *Williams*, supra, 61 Cal.4th at pp. 113 [embracing the "asymmetrical" nature of section 12965(b)'s costs provision in light of the Legislature's express intent "to encourage persons injured by discrimination to seek judicial relief"].)

Defendant does not argue that Plaintiff's action was frivolous. Its opposition makes no such showing and requests no such finding. The memorandum of costs asserts only that the listed items "are correct and were necessarily incurred," which speaks to the reasonableness of individual charges and not at all to the statutory predicate.

Nor could the finding be made on this record. Defendant prevailed on summary judgment, but summary judgment measures whether a triable issue of material fact exists. It does not measure whether a plaintiff had an objective basis for believing her claims had potential merit. (*Williams*, supra, 61 Cal.4th at pp. 99-100, 115.) The Court's ruling turned on the employer-side questions of notice and whether Defendant took prompt and appropriate remedial action, not on the absence of any evidentiary basis for the underlying allegation that Plaintiff was sexually assaulted by a coworker in the workplace during her employment. A claim that fails on a contested question of the employer's response is a claim that failed on the merits, not one that was objectively without foundation.

Defendant also does not identify when the claims "clearly became" groundless. The costs claimed span the life of the action, from the August 4, 2023 fee for filing Defendant's answer through the November 10, 2025 dismissal filing, without identifying

any point at which the litigation crossed into groundlessness. Neither Plaintiff's October 3, 2023 deposition, nor the depositions of Jason Anish on March 5, 2025, Marilyn Barnes on May 1, 2025, and Kevin Koda on May 7, 2025, nor the July 2025 filing of the summary judgment motion marks such a moment on this record. There is no identifiable date from which costs could be measured, and Defendant has not proposed one.

The presence of non-FEHA causes of action does not change the outcome. In *Roman v. BRE Properties, Inc.* (2015) 237 Cal.App.4th 1040, 1061, the Court of Appeal held that where non-FEHA claims are "inextricably intertwined" with FEHA claims, the trial court may not award costs unless the action was frivolous. Relying on *Williams*, the Court of Appeal explained that "it would weaken private enforcement of vital antidiscrimination and disability rights statutes . . . to compel an award of costs . . . simply because the plaintiff, based on the same alleged misconduct, had pleaded other civil rights theories in addition to . . . her FEHA causes of action." (*Roman*, supra, at pp. 1059-1060.) Every claim pleaded here — the FEHA claims, the common law tort claims, and the Ralph Act claim — arises from the same facts: the alleged sexual assault of Plaintiff by a coworker at work during her employment with Defendant. The depositions, filing fees, and service costs claimed were incurred in a single, undifferentiated defense of that unified set of allegations, and Defendant has not attempted to apportion them. No portion of the claimed costs is recoverable.

The burden of establishing entitlement to costs rests with the party seeking them. Defendant's contention that Plaintiff must disprove each item inverts that burden. The prima facie effect of a verified cost memorandum operates only as to items recoverable as a matter of right, which is the premise *Neeble-Diamond* holds is absent in a FEHA case. Defendant, not Plaintiff, was obligated to identify which claimed costs were attributable solely to the non-FEHA causes of action and to explain why those costs would not have been incurred in defending the FEHA claims. Defendant has made no such showing.

Because Defendant has not demonstrated, and cannot demonstrate on this record, that Plaintiff's FEHA action was frivolous, unreasonable, or groundless when brought or that Plaintiff continued to litigate after it clearly became so, and because Defendant sought its costs by memorandum rather than by the noticed motion *Neeble-Diamond* requires, Defendant is not entitled to recover costs under Government Code section 12965, subdivision (c)(6). The Court therefore does not reach Plaintiff's objections, if any, to individual line items.

"In amending [FEHA] to authorize discretionary awards of attorney fees and costs, our Legislature, like Congress before it, sought 'to encourage persons injured by discrimination to seek judicial relief.' [Citation.]" (*Williams*, supra, (2015) 61 Cal.4th at p. 112.) In order to vindicate the intent of our Legislature, the striking of costs and fees in this case is appropriate.

Conclusion

Plaintiff's Motion to Strike is GRANTED. Defendant's Memorandum of Costs filed December 9, 2025, is stricken in its entirety.

Moving party to give notice.

Parties who intend to submit on this tentative must send an email to the Court at SMCDept224@lacourt.org indicating intention to submit on the tentative, and copying all parties in the email communication. Please be advised that if you submit on the tentative and elect not to appear at the hearing, the opposing party may nevertheless appear at the hearing and argue the matter. Unless you receive a submission from all other parties in the matter, you should assume that others might appear at the hearing to argue. If the Court does not receive emails from the parties indicating submission on this tentative ruling and there are no appearances at the hearing, the Court will adopt the tentative as the final order, or take the matter off calendar at its discretion.